

long-term investing, particularly for retirement planning. These funds are common in the US but still evolving in India,” says Porwal.

For high-net-worth individuals, TMFs ensure interest rate risk control, diversification, and cash flow visibility in a volatile macro environment, and when combined with active strategies, balance yield, risk, and liquidity. Overall, they offer the “fixed deposit of mutual funds” proposition: low cost, transparency, and predictability.

TIMING THE ENTRY

“TMFs are a great instrument when you want predictability of returns. One can enter a TMF if the estimation is that the interest rate cycle is near the top,” says Suresh Sadagopan, founder, Ladder7 Financial Advisories. “Our house view remains tilted towards short-duration and accrual strategy, rather than long duration, where volatility risk is higher,” says Porwal.

Accrual strategy focuses on earning steady income from interest payments, holding securities till maturity. In contrast, a duration strategy seeks to gain from fluctuations in bond prices due to interest rate changes.

With inflation expected to stay under control in the near future, real returns from fixed income are attractive and so TMFs could be a good way to lock into current yields. Since bank fixed deposit rates have stopped going up and the RBI is holding rates steady, this is a good time to invest in TMFs for slightly better returns and liquidity options matching your goals.

Laddering balances safety and returns, reduces reinvestment risk, and makes TMFs an important part of a fixed-income portfolio. “Unless interest rates move up, which seems unlikely in the near future, especially with the impact of the US tariffs, investors would be best placed to invest in two to three-year TMFs with reasonable credit quality to get decent yields with low interest rate risks,” says Banka.

By investing now, investors can lock into the prevailing YTM, which captures today’s elevated rates before the next rate cycle begins.

TMFs work best when their maturity is matched to the investor’s time horizon, ensuring predictability of returns and minimising reinvestment risk. For instance, those with near-term needs—such as expenses in the next two to three years—can



“A retiree needing steady liquidity could ladder TMFs every two years. An HNI can tilt towards longer-dated TMFs for higher yields while opting for some short-duration TMFs for opportunistic redeployment”

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consider TMFs maturing in 2026–27. Investors with medium-term goals, like education or a major purchase, may opt for 2029–31 maturities to secure higher yields while managing volatility.

For long-term objectives such as retirement, longer-dated SDL (state development loans) or G-Sec (government securities) TMFs provide stability and steady compounding. “Match investment horizon to TMF maturity to maximise risk-adjusted returns,” says Basu of Bandhan AMC.

If active funds are roller coasters, TMFs are a scenic Ferris wheel: slower, steady, and offering a clear view of financial goals. You lock in yields, enjoy the calm ride, and arrive predictably at your destination—proof that patient investing can be quietly rewarding. **BT**